

Fund, which had commanded \$7.5 billion in assets at its peak. The fund shut its doors in December 2009 after its assets had dwindled to \$200 million.⁷ At the end of 2011, Goldman also shut Global Alpha, once one of its biggest funds, with more than \$12 billion in assets, after client redemptions shrank it to \$1.6 billion.⁸

Experts have debated the surprising losses of quant funds during August 2007. Because quant fund returns were so highly correlated on the downside, several experts suggested that there were too many players in the quant HF space doing the same thing. Large common positions, common funding sources, or too many quants using the same risk models and alpha strategies could have caused losses from one strategy to spill over to all quant strategies. Some suggested a new “hedge fund beta” had come into play. According to Khandani and Lo (2007), “the fact that the entire class of long/short equity strategies moved together so tightly during August 2007 implies the existence of certain common factors within that class.”

Quant funds are just one type of HF. The best description of a HF is given by Cliff Asness, a Goldman alumnus who once worked in the division that oversaw the Global Equity Opportunities and Global Alpha funds. He left Goldman in 1997 to found AQR, a HF that managed \$71 billion at the end of 2012. Asness (2004) says:

Hedge funds are investment pools that are relatively unconstrained in what they do. They are relatively unregulated (for now), charge very high fees, will not necessarily give you your money back when you want it, and will generally not tell you what they do. They are supposed to make money all the time, and when they fail at this, their investors redeem and go to someone else who has recently been making money. Every three or four years they deliver a one-in-a-hundred year flood. They are generally run for rich people in Geneva, Switzerland, by rich people in Greenwich, Connecticut.

Asness himself works and lives (in a 26,000-square-foot house) in Greenwich.⁹ AQR is a quant fund, and it was not spared the harrowing experience of August 2007; AQR had losses close to 20%. “We were looking the grim reaper in the face,” said Asness as he recalled his fund shrinking from \$39 billion in 2007 to \$17 billion by the end of 2008.¹⁰ While Goldman’s funds dissolved, everything came back for Asness, plus much more, after 2009. (Asness remains correct that, despite enactment of the Dodd-Frank Wall Street Reform and Consumer Protection Act in 2010, HFs are still relatively unregulated.)

⁷ Cahill, T., “Goldman Said to Shut Global Equity Opportunities Fund,” Bloomberg, Jan. 22, 2010.

⁸ LaCapra, T. L., and Herbst-Bayliss, S., “Goldman to Close Global Alpha After Losses,” Reuters, Sept. 16, 2011.

⁹ Chung, J., “Living Very Large,” *Wall Street Journal*, Feb. 10, 2012.

¹⁰ Quote from Tully, S., “Cliff Asness: A Hedge Fund Genius Goes Retail,” CNNMoney, Dec. 19, 2011.